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HEARD ON THE STREET

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# Broadcom Lives Well to Fight Another Day

Chipmaker's strong earnings and cash flow—and cheap stock—give it time to plot its next move

By Dan Gallagher

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Hock Tan isn't easily dissuaded. It is a quality that has served the Broadcom CEO very well over the last few years as he has cobbled together one of the largest and most successful chip companies in the world.

But there is a time to stand down or, in the case of Mr. Tan, to live to fight another day. His dogged pursuit of Qualcomm—a notably larger company in both employees and revenue—was a bold gambit that would have made Broadcom the world's third largest chip maker, trailing only Samsung and Intel Corp. But Broadcom was ordered Monday by President Trump to desist in the name of national security, which the company begrudgingly agreed to do on Wednesday morning.

That leaves Broadcom with the problem of what to do with itself now. Mr. Tan has spent the last several years building up a chip empire that now owns strong positions in several key markets such as smartphones, data centers and networking gear. Mr. Tan's deft management of these entities has allowed the company to grow revenue, earnings and cash flow consistently. But M&A always has been a key part of that plan. The company, once known as Avago, has swallowed up several large chip businesses in the last five years, including LSI Corp. in 2014 and its \$37 billion takeover of Broadcom that wrapped up two years ago and gave the company its new identity.

Qualcomm would have been the most ambitious move to date. The loss of that deal frees up Mr. Tan to consider others, with the obvious drawback being that almost anything else at this point will seem small by comparison. Analysts have pointed to companies such as Mellanox, Marvell and Xilinx as potential targets, but even the largest of those only would add 13% to Broadcom's current revenue. Qualcomm's chipset business alone would have nearly doubled the company's top line.

But Broadcom's next move may not be apparent for a while. The company is currently in the process of re-domiciling to the U.S., a process it expects to complete by May 6. That should help with the heightened government scrutiny that now accompanies tech deal making in the U.S.

In the meantime, Broadcom's strong financial performance should give it a strong line of credit with investors as it plots its next move. Broadcom's fiscal first quarter results due Thursday afternoon will show revenue in the range of \$5.3 to \$5.35 billion, according to a preliminary results reported by the company in January. That represents growth of 29% year over year at the midpoint. Free cash flow for the quarter is expected to have surged 81% to nearly \$1.9 billion. With Broadcom's stock price now fetching only 13 times forward earnings—a record discount of 21% to the PHLX Semiconductor Index—investors shouldn't need audacious deals to make this bet pay off.

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Dan Gallagher is a former columnist for The Wall Street Journal's Heard on the Street, where he covered the technology and media industries. His work for the Heard column spanned the businesses of artificial intelligence, semiconductors, internet, software, hardware, advertising, streaming TV and film. Dan also wrote WSJ's AI &...

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